

two essential factors: figuring out *which* businesses we wanted our net worths invested in, and even more important, *whom* we wanted our net worths invested alongside. We call this having the right cards in the right hands.

In Berkshire Hathaway's 1987 annual report, Warren Buffett pointed out "the lack of skill that many CEOs have at capital allocation is no small matter: after ten years on the job, a CEO whose company annually retains earnings equal to 10% of net worth will have been responsible for the deployment of more than 60% of all the capital at work in the business." This simple truth has major consequences for a long-term owner of equity: over time, the returns on capital of the entire business will converge with the returns from these additional capital commitments. Either management thinks rationally about reinvesting capital at satisfactory returns across their four options—to reinvest in the business, acquire other businesses, repurchase shares, or pay dividends—or they don't.

Graham was skeptical on this subject. In the section on the Theory of Common-Stock Investment entitled "The Merits of 'Plowing-back' Earnings," Graham points out the weakness in the assumptions many make regarding managements retaining earnings: "Whatever benefits a business benefits its owners, provided the benefit is not conferred upon the corporation at the expense of the shareholders." That exception is no small matter. Alignment of interests is essential in investing capital, whether in markets or in businesses. If you are going to own interests in companies for the long term, you effectively own the sum of all the decisions made in the organization each day, so understanding managements and how they think seemed very important to us.

We developed the view that founders who live and breathe their businesses 24/7 make the best business partners. They are able to clearly articulate a true-north goal within their organizations, which increases the likelihood that business decisions are made with that goal in mind.